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Supreme Court of British Columbia â Vancouver No. S-268841

Indexed as: Kalin v. Campbell
Cited as: 2014 BCCA 441
Docket: CA041782

COURT OF APPEAL FOR BRITISH COLUMBIA

Between:
Walter Kalin
Appellant
(Plaintiff)
And
Robert Campbell and
Pacific Rim Transport Corporation
Respondents
(Defendants)

Before: The Honourable Chief Justice Bauman
The Honourable Madam Justice Bennett
The Honourable Mr. Justice Willcock

Heard: September 23, 2014
Judgment Delivered: December 3, 2014

Counsel:
D.G. Cowper, Q.C. and K.R. Burnett for the Appellant
P.G. Voorn for the Respondents

On appeal from: An order of the Supreme Court of British Columbia, dated April 14, 2014 (Kalin v. Campbell, 2014 BCSC 620).

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Supreme Court of British Columbia â Vancouver No. S-268841

HEADNOTE / SUMMARY:
Practice â Civil procedure â Pre-trial document production â Rule 7-1 â Commercial sensitivity â Redactions â Proportionality.

The plaintiff appealed an interlocutory order denying unredacted production of quarterly operational reports and corporate management metrics. The chambers judge held that the documents contained proprietary competitive data and that disclosure was not proportionate under Rule 1-3.

Held: Appeal allowed. Commercial embarrassment or sensitivity does not constitute a recognised ground of privilege under the Supreme Court Civil Rules. Where documents are directly relevant to proving or disproving an allegation raised in the pleadings, they must be produced in unredacted form unless protected by legal professional or litigation privilege. If proprietary interests require protection, the appropriate mechanism is a confidentiality undertaking or protective order, not unilateral concealment.

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REASONS FOR JUDGMENT OF THE HONOURABLE MR. JUSTICE WILLCOCK:

[24] The starting point under Supreme Court Civil Rule 7-1 is the obligation of a party to list and produce every document in its possession or control that could

be used at trial to prove or disprove a material fact. The scope of production
remains anchored in the issues defined by the pleadings.

[25] In the present case, the respondent justified extensive redactions to its
management records on the basis that the redacted sections contained proprietary
cost allocations and internal revenue margins that it wished to shield from a commercial
competitor.

[26] With respect, commercial sensitivity is not privilege. While the court will
be vigilant to prevent the discovery process from degenerating into abusive fishing
expeditions designed to extract trade secrets, a party cannot unilaterally redact
relevant portions of documents simply because disclosure would cause commercial
discomfort or disclose financial calculations.

[27] As this Court emphasized in Biehl v. Strang, 2011 BCCA 215, proportionality
under Rule 1-3 informs how discovery is conducted, but it does not extinguish the
right of a litigant to inspect the core evidentiary foundation upon which the
adverse party’s billing or accounting formulas depend.

[28] If the records contain genuine trade secrets alongside material facts, the

proper procedure is to seek a tailored confidentiality agreement or a protective
order under Rule 7-1(18), restricting disclosure to counsel and designated experts.
It was an error in principle to deny production altogether.

[29] The appeal is allowed with costs. The respondent is ordered to deliver unredacted copies of the disputed quarterly management reports within 14 days.

[BAUMAN C.J.B.C.: I agree.]
[BENNETT J.A.: I agree.]